 Name _____

Crocs: Bad Debts in a Real Balance Sheet

Source: Crocs, Inc. Form 10-K, year ended December 31, 2024 (condensed; amounts in thousands) · sec.gov/Archives/edgar/data/1334036/000133403625000009/crox-20241231.htm

Crocs, Inc.
Consolidated Balance Sheet

	Dec 31, 2024
Cash and cash equivalents	$ 180,485
Accounts receivable	289,236
Less: Allowance for doubtful accounts	(31,579)
Accounts receivable, net	257,657
Inventories	356,254
Other current assets	77,873
Total current assets	872,269
Property, goodwill, brands and other	3,939,884
Total assets	$ 4,812,153
Total current liabilities	$ 740,208
Long-term liabilities	2,236,213
Total liabilities	2,976,421
Total stockholders' equity	1,835,732
Total liabilities and equity	$ 4,812,153

Crocs, Inc.
Allowance for Doubtful Accounts

	2024
Balance, Dec 31, 2023	$ 27,591
Add: Bad debt expense (new estimates)	?
Less: Accounts written off	?
Balance, Dec 31, 2024	$ 31,579

BACKGROUND
Crocs sells many of its shoes to retailers and distributors (shoe stores, department stores) on credit. They pay weeks later.

FIND IT IN THE STATEMENTS

Write the amount ($ thousands, or %).

1. In total, how much did customers owe Crocs at year-end? _____
2. How much does Crocs estimate it will never collect? _____
3. How much does Crocs actually expect to collect in cash? _____
4. What percentage of what customers owe does Crocs expect never to collect? _____
5. Out of every $100 customers owe, about how much does Crocs expect to collect? _____
6. By how much did the allowance increase during 2024? _____

HINTS

Accounts receivable
Amounts customers owe for sales made on credit.

Allowance for doubtful accounts
The part of receivables the company *estimates* it will never collect. A contra-asset subtracted from accounts receivable.

Net realizable value
Accounts receivable − allowance = the amount expected to be collected.

Bad debt expense
Recorded when the loss is *estimated* (year-end adjusting entry): Dr Bad debt expense, Cr Allowance.

Write-off
Removing a specific customer's account: Dr Allowance, Cr Accounts receivable. No expense.

Allowance T-account
Beginning + Bad debt expense − Write-offs = Ending.

PRACTICE

7 **Fill in the "?".** Suppose Crocs wrote off **6,000** of customer accounts during 2024. How much bad debt expense did it record?

_____

8 **Journal entries.** (a) Record the year-end bad debt estimate from Q7.

ACCOUNT	DEBIT	CREDIT
_____	_____	
_____		_____

(b) A shoe store that owes Crocs **1,500** goes bankrupt. Write off its account.

ACCOUNT	DEBIT	CREDIT
_____	_____	
_____		_____

Effect of entry (b): net income decreases / no change ; accounts receivable, net decreases / no change

9 **Aging method.** Shoe Wholesale Co. (a smaller, made-up company) ages its receivables at year-end:

AGE	RECEIVABLES	% UNCOLLECTIBLE	ESTIMATED UNCOLLECTIBLE
Not yet due	80,000	1%	_____
1–90 days past due	15,000	10%	_____
Over 90 days past due	5,000	40%	_____
Required ending allowance	**100,000**		_____

The allowance already has a **credit** balance of 1,100 before adjusting. Bad debt expense = _____

10 **Receivables turnover.** Crocs's 2024 revenue was about **$4,102 million**. Net receivables were $258 million (2024) and $306 million (2023).
Turnover = Revenue ÷ Average net receivables = _____ Days to collect = 365 ÷ turnover = _____

11 **Compare.** Costco says its allowance for receivables is *immaterial*. Why would Costco have almost no bad debts while Crocs does?

_____

Crocs's reported "allowances" ($31,579) also include reserves for customer returns and discounts; this worksheet treats the total as the allowance for doubtful accounts. Accounts receivable (gross), other current assets, "property, goodwill, brands and other" and long-term liabilities are derived from reported totals. Q7–Q9 use made-up numbers.